

But is it not true, the reader may ask, that the really big fortunes from common stocks have been garnered by those who made a substantial commitment in the early years of a company in whose future they had great confidence, and who held their original shares unwaveringly while they increased 100-fold or more in value? The answer is “Yes.” But the big fortunes from single-company investments are almost always realized by persons who have a close relationship with the particular company—through employment, family connection, etc.—which justifies them in placing a large part of their resources in one medium and holding on to this commitment through all vicissitudes, despite numerous temptations to sell out at apparently high prices along the way. An investor without such close personal contact will constantly be faced with the question of whether too large a portion of his funds are in this one medium.* Each decline—however temporary it proves in the sequel—will accentuate his problem; and internal and external pressures are likely to force him to take what seems to be a goodly profit, but one far less than the ultimate bonanza.⁴

TABLE 7-1 Average Results of “Growth Funds,” 1961–1970*

	1 year 1970	5 years 1966–1970	10 years 1961–1970	1970 Dividend Return
17 large growth funds	– 7.5%	+23.2%	+121.1%	2.3%
106 smaller growth funds—group A	–17.7	+20.3	+102.1	1.6
38 smaller growth funds—group B	– 4.7	+23.2	+106.7	1.4
15 funds with “growth” in their name	–14.2	+13.8	+ 97.4	1.7
Standard & Poor’s composite	+ 3.5%	+16.1	+104.7	3.4
Dow Jones Industrial Average	+ 8.7	+ 2.9	+ 83.0	3.7

*These figures are supplied by Wiesenberger Financial Services.